

Unit 4

Adapting to the Digital Economy

Framework Library · 20 reference sheets

4.1**Digital Transformation Strategy**

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4.2**The Future of Work**

5 frameworks · pages 7 – 11

4.3**AI in Business**

5 frameworks · pages 12 – 16

4.4**The New Consumer**

5 frameworks · pages 17 – 21

LEGEND

DEFINITION	Conceptual definitions and key terms (8 cards)
FRAMEWORK	Strategic frameworks and analytical tools (12 cards)
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BCG 10-20-70 Rule

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Where the value of digital transformation actually comes from.

PROFESSIONAL DEFINITION

An empirical rule of thumb derived from BCG's transformation studies: of all the value created by a digital transformation programme, ~10% comes from the technology itself, ~20% from data and analytics, and ~70% from organisational and process change. The headline lesson: technology is necessary but not sufficient.

WHO DEVELOPED IT

BCG (2019, 2020, 2024) digital transformation research.

WHY IT WAS DEVELOPED

Builds on Westerman, Bonnet & McAfee (2014) 'Leading Digital' (MIT-CDB), which established that digital-mature firms outperform peers on profitability not because of technology adoption but because of organisational redesign.

FIGURE 1 · BCG 10-20-70 RULE

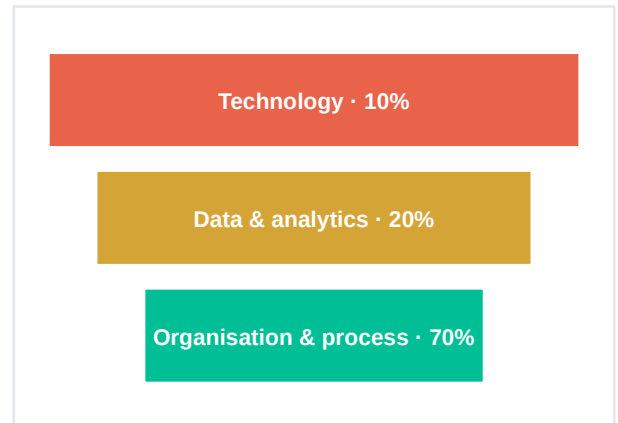


Figure 1. BCG 10-20-70 Rule: Where the value of digital transformation actually comes from.

HOW IT IS USED

when designing or evaluating a transformation business case.

WHEN IT IS USED

in board-level discussions to recalibrate where to spend.

BY WHOM IT IS USED

strategy consultants, corporate executives, policy analysts, and academic researchers working in Digital Transformation Strategy.

REAL-WORLD EXAMPLES

- Microsoft cultural transformation (Nadella, 2014–): tech enablement followed culture change.
- DBS Bank: 'World's Best Digital Bank' transformation invested heavily in talent and ways-of-working before stack modernisation.
- Failed cases: many large-bank 'digital transformation' programmes burn billions on tech without addressing operating-model complexity.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Compared with prior approaches in the same domain, BCG 10-20-70 Rule contributes a clearer, more transferable framing of the dynamic it names — Where the value of digital transformation actually comes from. Its analytical contribution is the explicit recognition that technology layer (~10%): platforms, cloud, AI tools — genuine but commoditised contribution.

RELATED FRAMEWORKS IN THIS COURSE

[McKinsey 7S — Digital Edition · 4.1.2](#)
[Digital Maturity Model · 4.1.3](#)
[Change Resistance · 4.1.5](#)

SOURCES (HARVARD REFERENCING STYLE)

BCG (2020) Flipping the Odds of Digital Transformation Success. Boston: Boston Consulting Group.

Westerman, G., Bonnet, D. and McAfee, A. (2014) Leading Digital: Turning Technology into Business Transformation. Boston: Harvard Business Review Press.

BCG (2024) The Digital Acceleration Index 2024. Boston: Boston Consulting Group.

McKinsey 7S — Digital Edition

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Strategy · Structure · Systems · Style · Staff · Skills · Shared Values — recalibrated for digital.

PROFESSIONAL DEFINITION

An adaptation of Peters & Waterman's classic 7S framework for digital-era diagnosis. Each of seven interdependent elements (Strategy, Structure, Systems, Style, Staff, Skills, Shared Values) is reinterpreted to surface digital-specific tensions: e.g. Systems now means platforms-and-data; Staff includes contingent and crowdsourced labour.

WHO DEVELOPED IT

Original 7S framework: Peters and Waterman (1982) 'In Search of Excellence', informed by Pascale and Athos's earlier work.

WHY IT WAS DEVELOPED

Digital adaptation in McKinsey Digital Quotient (2014–) and McKinsey (2024) 'The State of Digital and AI in Banking'.

FIGURE 1 · MCKINSEY 7S — DIGITAL EDITION

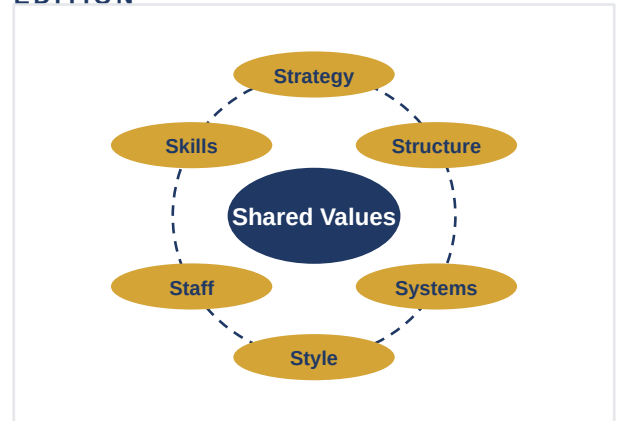


Figure 1. McKinsey 7S — Digital Edition: Strategy · Structure · Systems · Style · Staff · Skills · Shared Values — recalibrated for digital.

HOW IT IS USED

as a structured diagnostic before launching a transformation.

WHEN IT IS USED

in post-mortems on stalled programmes — surfaces the misaligned S.

BY WHOM IT IS USED

strategy consultants, corporate executives, policy analysts, and academic researchers working in Digital Transformation Strategy.

REAL-WORLD EXAMPLES

- DBS Bank: explicit re-engineering of all 7 Ss over a decade.
- Microsoft 2014–: shared-values shift ('learn-it-all' vs. 'know-it-all') unlocked the rest.
- Lego: post-2003 turnaround used 7S logic to rebuild from near-bankruptcy.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Compared with prior approaches in the same domain, McKinsey 7S — Digital Edition contributes a clearer, more transferable framing of the dynamic it names — Strategy · Structure · Systems · Style · Staff · Skills · Shared Values — recalibrated for digital. Its analytical contribution is the explicit recognition that three 'hard' Ss (Strategy, Structure, Systems) and four 'soft' Ss (Style, Staff, Skills, Shared Values) interlock around Shared Values at the centre.

RELATED FRAMEWORKS IN THIS COURSE

BCG 10-20-70 · 4.1.1

Change Resistance · 4.1.5

Transformation Roadmap · 4.1.4

SOURCES (HARVARD REFERENCING STYLE)

Peters, T. and Waterman, R. (1982) In Search of Excellence. New York: Harper & Row.

McKinsey & Company (2024) The State of Digital and AI in Banking 2024. New York: McKinsey & Company.

Bughin, J., Catlin, T., Hirt, M. and Willmott, P. (2018) 'Why digital strategies fail', McKinsey Quarterly, 1, pp. 1–14.

Digital Maturity Model

Five rungs from analogue to AI-native — diagnose where you actually are.

PROFESSIONAL DEFINITION

A staged model of organisational digital maturity, with five typical rungs: Initial / ad-hoc · Managed / siloed · Defined / cross-functional · Quantitatively managed / data-driven · Optimising / AI-native. Each rung implies different bottlenecks, different KPIs, and different intervention priorities.

WHO DEVELOPED IT

Multiple variants exist; widely used versions include Westerman, Bonnet & McAfee's 'four digital archetypes' (Beginners, Conservatives, Fashionistas, Digirati — MIT, 2014); Capgemini and MIT's Digital Maturity Index; Forrester's Digital Maturity Model.

WHY IT WAS DEVELOPED

All trace philosophical roots to CMMI from software engineering.

FIGURE 1 · DIGITAL MATURITY MODEL

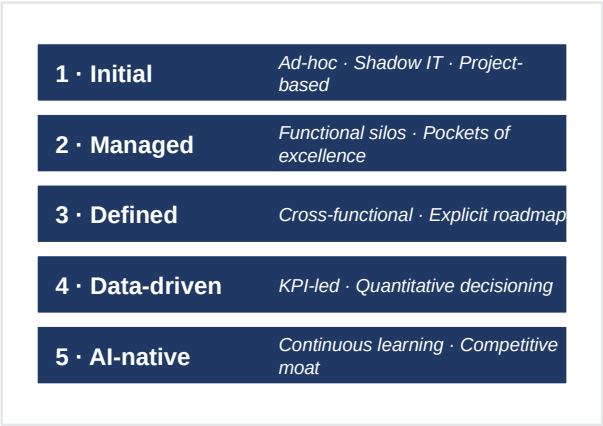


Figure 1. Digital Maturity Model: Five rungs from analogue to AI-native — diagnose where you actually are.

HOW IT IS USED

as the kick-off diagnostic of any transformation programme.

WHEN IT IS USED

to set realistic targets — most firms cannot leap two rungs in one programme.

BY WHOM IT IS USED

strategy consultants, corporate executives, policy analysts, and academic researchers working in Digital Transformation Strategy.

REAL-WORLD EXAMPLES

- Capgemini Digital Acceleration Index annual benchmark.
- BCG Digital Acceleration Index (DAI).
- Many incumbents: claim Rung 4–5; benchmark places them at Rung 2–3.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Compared with prior approaches in the same domain, Digital Maturity Model contributes a clearer, more transferable framing of the dynamic it names — Five rungs from analogue to AI-native — diagnose where you actually are. Its analytical contribution is the explicit recognition that rung 1 — Initial: digital activity is ad-hoc, project-based, often shadow-IT.

RELATED FRAMEWORKS IN THIS COURSE

- BCG 10-20-70 · 4.1.1
- Transformation Roadmap · 4.1.4
- AI Spectrum · 4.3.1

SOURCES (HARVARD REFERENCING STYLE)

Westerman, G., Bonnet, D. and McAfee, A. (2014) *Leading Digital*. Boston: HBR Press.

Capgemini (2024) *Digital Mastery 2024: How Organisations Have Progressed in Their Digital Transformations*. Paris: Capgemini Research Institute.

MIT Sloan & Capgemini Consulting (2017) *Digital Transformation Review 10*. Cambridge, MA: MIT Sloan.

Transformation Roadmap

Sequence the dependencies · don't try everything at once.

PROFESSIONAL DEFINITION

A multi-horizon plan that sequences digital-transformation initiatives in dependency order, recognising that some changes (data foundations, cloud migration, talent) must precede others (AI, customer-experience overhaul, ecosystem play). Typically organised in three or four phases over 3–5 years.

WHO DEVELOPED IT

Industry practice rather than single-author origin.

WHY IT WAS DEVELOPED

Refined by McKinsey (2018) 'Why digital strategies fail', BCG (2020) 'Flipping the Odds', and Capgemini Mastery research. Three-horizon strategic-planning logic from Baghai, Coley & White (1999) is the structural ancestor.

FIGURE 1 · TRANSFORMATION ROADMAP

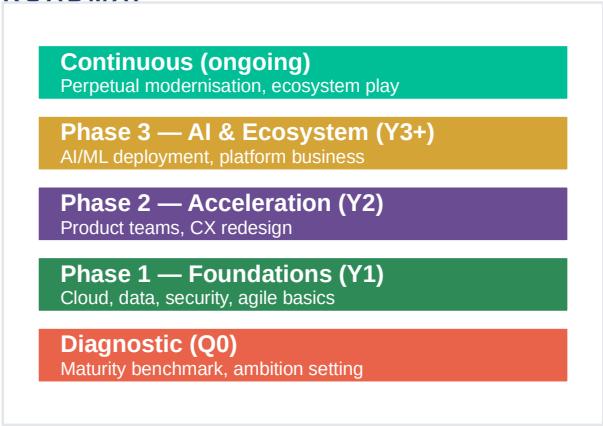


Figure 1. Transformation Roadmap: *Sequence the dependencies · don't try everything at once.*

HOW IT IS USED

at programme launch — sequencing is set once.

WHEN IT IS USED

in PMO and steering-committee reviews to challenge over-ambition.

BY WHOM IT IS USED

strategy consultants, corporate executives, policy analysts, and academic researchers working in Digital Transformation Strategy.

REAL-WORLD EXAMPLES

- DBS Bank decade-long roadmap (2014–2024).
- ING 'one agile bank' programme — 5-year roadmap with explicit phases.
- Walmart e-commerce / omnichannel roadmap (2016–2024).

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Compared with prior approaches in the same domain, Transformation Roadmap contributes a clearer, more transferable framing of the dynamic it names — Sequence the dependencies · don't try everything at once. Its analytical contribution is the explicit recognition that phase 1 — Foundations (Y1): cloud, data architecture, security, identity, basic agile capability.

RELATED FRAMEWORKS IN THIS COURSE

- Digital Maturity Model · 4.1.3
- BCG 10-20-70 · 4.1.1
- Reskilling vs. Upskilling · 4.2.1

SOURCES (HARVARD REFERENCING STYLE)

Baghai, M., Coley, S. and White, D. (1999) The Alchemy of Growth. London: Texere.

Bughin, J., Catlin, T., Hirt, M. and Willmott, P. (2018) 'Why digital strategies fail', McKinsey Quarterly, 1, pp. 1–14.

BCG (2020) Flipping the Odds of Digital Transformation Success. Boston: Boston Consulting Group.

Change Resistance

Why ~70% of transformations underdeliver — the human side of the equation.

PROFESSIONAL DEFINITION

Change resistance is the systematic opposition — overt or covert, individual or organisational — to a proposed change in ways of working, structure, systems, or strategy. Resistance has four major sources: cognitive (don't understand), emotional (fear, loss), political (loss of power), and structural (incentives misaligned).

WHO DEVELOPED IT

Lewin, K. (1947) 'Frontiers in Group Dynamics' — original force-field analysis.

WHY IT WAS DEVELOPED

Kotter, J.P. (1995) 'Leading Change' — the eight-step model. Modern restatement in Kotter (2014) 'Accelerate' and many BCG/McKinsey reports on transformation failure rates.

FIGURE 1 · CHANGE RESISTANCE

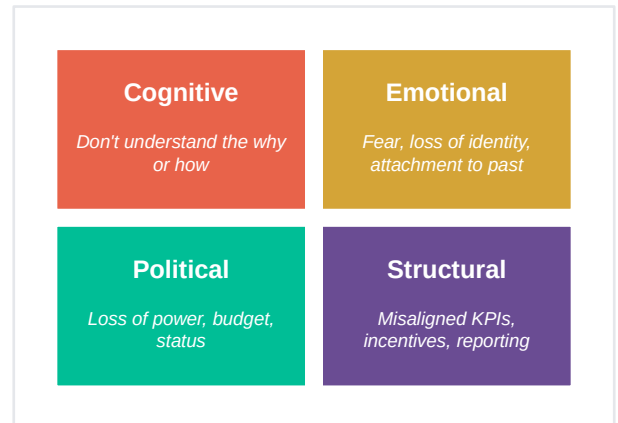


Figure 1. Change Resistance: Why ~70% of transformations underdeliver — the human side of the equation.

HOW IT IS USED

in stakeholder mapping at programme launch.

WHEN IT IS USED

when diagnosing why a stalled programme has stopped moving.

BY WHOM IT IS USED

educators, analysts, and practitioners requiring a precise definitional anchor when scoping their work in Digital Transformation Strategy.

REAL-WORLD EXAMPLES

● Kodak's failure to commercialise its own digital-camera invention (1975) — political and cognitive resistance.

● Microsoft pre-Nadella: cultural resistance to cloud, mobile, and open-source — required leadership change.

● BBC iPlayer: substantial internal resistance from licence-fee-funded broadcast traditionalists.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Compared with prior approaches in the same domain, Change Resistance contributes a clearer, more transferable framing of the dynamic it names — Why ~70% of transformations underdeliver — the human side of the equation. Its analytical contribution is the explicit recognition that cognitive resistance: people don't understand why or how — resolved with communication and training.

RELATED FRAMEWORKS IN THIS COURSE

BCG 10-20-70 · 4.1.1

Reskilling vs. Upskilling · 4.2.1

Cognitive Trade-Off · 4.3.5

SOURCES (HARVARD REFERENCING STYLE)

Lewin, K. (1947) 'Frontiers in group dynamics', *Human Relations*, 1(1), pp. 5–41.

Kotter, J.P. (1995) 'Leading change: why transformation efforts fail', *Harvard Business Review*, 73(2), pp. 59–67.

Kotter, J.P. (2014) *Accelerate: Building Strategic Agility for a Faster-Moving World*. Boston: HBR Press.

Reskilling vs. Upskilling

Two distinct interventions — learn a new role · grow within the existing role.

PROFESSIONAL DEFINITION

Reskilling means equipping a worker with the capabilities for a different role (e.g. retail clerk → data analyst). Upskilling means deepening capabilities within an existing role (e.g. analyst learning machine learning). Both are responses to digital and AI-driven labour-market shifts; they require different time, budget, and organisational design.

WHO DEVELOPED IT

Modern usage anchored in WEF (2018, 2020, 2023) Future of Jobs reports and McKinsey's 'jobs lost, jobs gained' research (2017+).

WHY IT WAS DEVELOPED

Conceptual roots in human-capital theory (Becker, 1964).

FIGURE 1 · RESKILLING VS. UPSKILLING

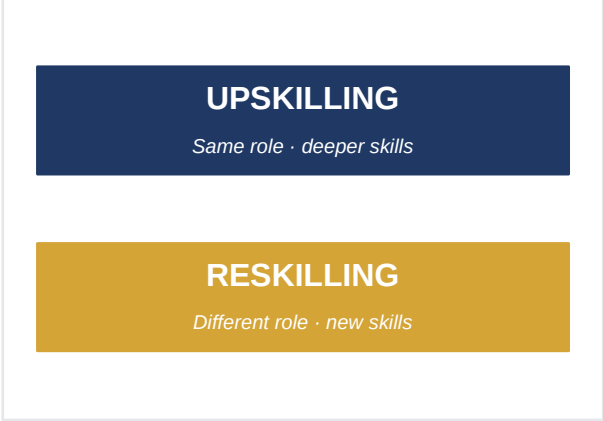


Figure 1. Reskilling vs. Upskilling: Two distinct interventions — learn a new role · grow within the existing role.

HOW IT IS USED

when designing a workforce-transition response to automation or AI deployment.

WHEN IT IS USED

in HR and L&D planning — different budgets, timelines, providers.

BY WHOM IT IS USED

educators, analysts, and practitioners requiring a precise definitional anchor when scoping their work in The Future of Work.

REAL-WORLD EXAMPLES

- AT&T 'Future Ready' (2013–2020): \$1bn reskilling programme — moved 140,000 employees into new roles.

● Amazon Upskilling 2025: \$700m commitment — predominantly upskilling (cloud, ML).

● Singapore SkillsFuture: state-funded mid-career reskilling — every Singaporean over 25 receives a credit.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Compared with prior approaches in the same domain, Reskilling vs. Upskilling contributes a clearer, more transferable framing of the dynamic it names — Two distinct interventions — learn a new role · grow within the existing role. Its analytical contribution is the explicit recognition that reskilling typically requires 6–24 months of structured learning and practice — substantial investment.

RELATED FRAMEWORKS IN THIS COURSE

- Skills Matrix 2025-2030 · 4.2.5
- Task Automation Potential · 4.2.2
- Step-Function AI Impact · 4.2.3

SOURCES (HARVARD REFERENCING STYLE)

- Becker, G.S. (1964) Human Capital: A Theoretical and Empirical Analysis. Chicago: University of Chicago Press.
- WEF (2023) Future of Jobs Report 2023. Geneva: World Economic Forum.
- McKinsey Global Institute (2017) Jobs Lost, Jobs Gained: Workforce Transitions in a Time of Automation. New York: McKinsey.

Task Automation Potential

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Routine vs. non-routine · cognitive vs. manual — a 2×2 of automation risk.

PROFESSIONAL DEFINITION

A 2×2 framework for classifying work tasks (not jobs) by automation potential. Two axes: routine vs. non-routine, and cognitive vs. manual. Routine tasks (manual or cognitive) automate first; non-routine cognitive tasks (creative, social, complex problem-solving) resist automation longest. AI is now compressing the safe zone of non-routine cognitive work.

WHO DEVELOPED IT

Autor, D., Levy, F. and Murnane, R. (2003) 'The skill content of recent technological change' — Quarterly Journal of Economics.

WHY IT WAS DEVELOPED

Updated for AI by Brynjolfsson, Mitchell & Rock (2018) and OECD work-of-the-future research.

FIGURE 1 · TASK AUTOMATION POTENTIAL

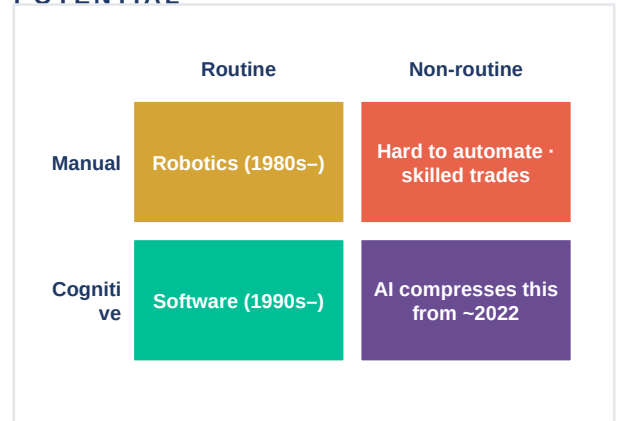


Figure 1. Task Automation Potential: Routine vs. non-routine · cognitive vs. manual — a 2×2 of automation risk.

HOW IT IS USED

when classifying tasks for automation roadmap.

WHEN IT IS USED

in workforce-planning — identifies which roles need reskilling vs. upskilling.

BY WHOM IT IS USED

strategy consultants, corporate executives, policy analysts, and academic researchers working in The Future of Work.

REAL-WORLD EXAMPLES

● Customer-service email response: was non-routine cognitive (safe); now LLM-automatable.

● Surgery: non-routine manual — robotic-assisted but not autonomous.

● Tax preparation: routine cognitive — largely software-automated.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Compared with prior approaches in the same domain, Task Automation Potential contributes a clearer, more transferable framing of the dynamic it names — Routine vs. non-routine · cognitive vs. manual — a 2×2 of automation risk. Its analytical contribution is the explicit recognition that routine manual: assembly-line work, basic warehousing — automated through robotics (1980s-).

RELATED FRAMEWORKS IN THIS COURSE

Step-Function AI Impact · 4.2.3

Reskilling vs. Upskilling · 4.2.1

AI Spectrum · 4.3.1

SOURCES (HARVARD REFERENCING STYLE)

Autor, D., Levy, F. and Murnane, R. (2003) 'The skill content of recent technological change', Quarterly Journal of Economics, 118(4), pp. 1279–1333.

Brynjolfsson, E., Mitchell, T. and Rock, D. (2018) 'What can machines learn, and what does it mean for occupations and the economy?', AEA Papers and Proceedings, 108, pp. 43–47.

OECD (2023) Employment Outlook 2023: Artificial Intelligence and the Labour Market. Paris: OECD Publishing.

Step-Function AI Impact (MIT)

MIT IDE 2025 — labour-market disruption is non-linear, not gradual.

PROFESSIONAL DEFINITION

MIT IDE's empirical finding (2025) that AI's labour-market impact follows step-function dynamics rather than the gradual diffusion curves of past general-purpose technologies. Disruption is concentrated, sudden, and uneven across occupations — making conventional adjustment policies (retraining, gradual transition) ill-suited to its pace.

WHO DEVELOPED IT

MIT Initiative on the Digital Economy (2025) IDE 2025 Annual Report.

WHY IT WAS DEVELOPED

Empirical follow-up to Brynjolfsson, Frank, Mitchell, Rahwan & Rock (2023) working papers on the labour market impact of generative AI.

FIGURE 1 · STEP-FUNCTION AI IMPACT (MIT)

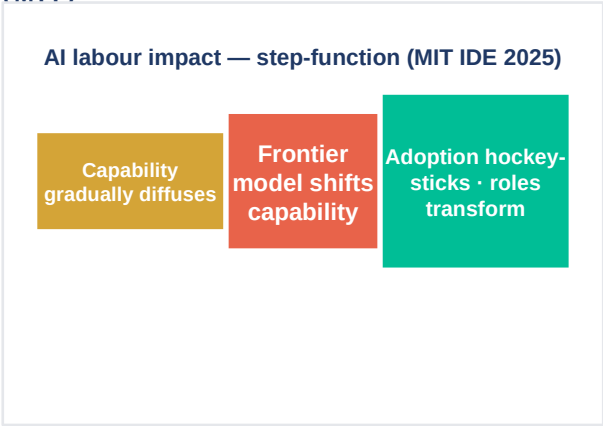


Figure 1. Step-Function AI Impact (MIT): MIT IDE 2025 — labour-market disruption is non-linear, not gradual.

HOW IT IS USED

in workforce-planning scenario design — argues against gradualist baseline.

WHEN IT IS USED

in policy and HR communication.

BY WHOM IT IS USED

strategy consultants, corporate executives, policy analysts, and academic researchers working in The Future of Work.

REAL-WORLD EXAMPLES

- Customer-service: 30%+ task automation within 18 months of GPT-4 launch.
- Code generation: GitHub Copilot adoption hockey-sticked from launch.
- Translation: 90%+ of routine translation now AI-mediated post-2023.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Compared with prior approaches in the same domain, Step-Function AI Impact (MIT) contributes a clearer, more transferable framing of the dynamic it names — MIT IDE 2025 — labour-market disruption is non-linear, not gradual. Its analytical contribution is the explicit recognition that AI capability advances in jumps — each frontier model (GPT-4, Claude 3, Gemini) shifts the production-possibility frontier.

RELATED FRAMEWORKS IN THIS COURSE

- AI Spectrum · 4.3.1
- AI ROI — The \$252B Question · 4.3.3
- Reskilling vs. Upskilling · 4.2.1

SOURCES (HARVARD REFERENCING STYLE)

MIT Initiative on the Digital Economy (2025) IDE 2025 Annual Report. Cambridge, MA: MIT IDE.

Brynjolfsson, E., Li, D. and Raymond, L. (2025) 'Generative AI at work', Quarterly Journal of Economics, 140(2), pp. 889–942.

Eloundou, T., Manning, S., Mishkin, P. and Rock, D. (2024) 'GPTs are GPTs: an early look at the labor market impact potential of large language models', Science, 384(6702), pp. 1306–1308.

Gig Economy Platforms

Two-sided platforms intermediating contingent labour and discrete tasks.

PROFESSIONAL DEFINITION

Gig economy platforms are digital intermediaries that match workers (independent contractors, freelancers, self-employed) with discrete tasks or short-duration jobs (rides, deliveries, freelance gigs, micro-tasks). They sit at the intersection of two-sided market structures and the future-of-work debate over employment classification.

WHO DEVELOPED IT

Term in popular use since ~2009 (TaskRabbit launched).

WHY IT WAS DEVELOPED

Academic frame in Stanford, V. (2017) 'Gig economy: an overview' and ILO (2021) 'World Employment and Social Outlook 2021'. Business-model formalisation in Sundararajan (2016) 'The Sharing Economy'.

FIGURE 1 · GIG ECONOMY PLATFORMS

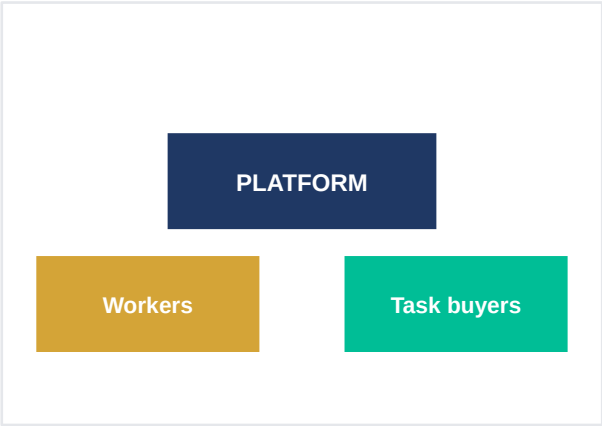


Figure 1. Gig Economy Platforms: Two-sided platforms intermediating contingent labour and discrete tasks.

HOW IT IS USED

in case studies of platform-labour interaction.

WHEN IT IS USED

in HR strategy involving contingent workforce.

BY WHOM IT IS USED

educators, analysts, and practitioners requiring a precise definitional anchor when scoping their work in The Future of Work.

REAL-WORLD EXAMPLES

- Uber: largest gig platform — 150m+ monthly active users (2024).
- Deliveroo / Just Eat / DoorDash: food-delivery gig economy.
- Upwork / Fiverr: knowledge-work gig economy.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Compared with prior approaches in the same domain, Gig Economy Platforms contributes a clearer, more transferable framing of the dynamic it names — Two-sided platforms intermediating contingent labour and discrete tasks. Its analytical contribution is the explicit recognition that two distinct user groups — workers and task-buyers — matched algorithmically.

RELATED FRAMEWORKS IN THIS COURSE

- Multi-Sided Platforms (Unit 3.)
- Step-Function AI Impact · 4.2.3
- Platform Governance (Unit 3.3.)

SOURCES (HARVARD REFERENCING STYLE)

Sundararajan, A. (2016) The Sharing Economy. Cambridge, MA: MIT Press.

ILO (2021) World Employment and Social Outlook 2021: The Role of Digital Labour Platforms in Transforming the World of Work. Geneva: International Labour Organization.

European Union (2024) Directive on Improving Working Conditions in Platform Work. Brussels: Official Journal of the EU.

Skills Matrix 2025-2030

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WEF Future of Jobs — top skills by demand growth.

PROFESSIONAL DEFINITION

A ranking of the workforce skills with the strongest projected demand growth over a 5-year horizon, derived from World Economic Forum surveys of ~800 large-employer respondents. The matrix recurs annually with shifting composition — analytical thinking, AI literacy, creative thinking, leadership, and resilience consistently dominate.

WHO DEVELOPED IT

WEF Future of Jobs Report — biennial since 2016 (with 2018, 2020, 2023, 2025 editions).

WHY IT WAS DEVELOPED

Methodology refined over time; 2023 onward has explicit AI-literacy categories.

FIGURE 1 · SKILLS MATRIX 2025-2030



Figure 1. Skills Matrix 2025-2030: WEF Future of Jobs — top skills by demand growth.

HOW IT IS USED

in L&D and workforce-planning strategy.

WHEN IT IS USED

in higher-education curriculum design.

BY WHOM IT IS USED

strategy consultants, corporate executives, policy analysts, and academic researchers working in The Future of Work.

REAL-WORLD EXAMPLES

- WEF Future of Jobs 2023: ~44% of workers' core skills expected to change by 2027.
- LinkedIn 'Skills Genome' updates show year-over-year skill displacement.
- OECD Skills Outlook 2023 corroborates WEF findings on AI literacy demand.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Compared with prior approaches in the same domain, Skills Matrix 2025-2030 contributes a clearer, more transferable framing of the dynamic it names — WEF Future of Jobs — top skills by demand growth. Its analytical contribution is the explicit recognition that WEF surveys C-suite respondents on the skills they expect to grow / decline in importance.

RELATED FRAMEWORKS IN THIS COURSE

- Reskilling vs. Upskilling · 4.2.1
- Step-Function AI Impact · 4.2.3
- Cognitive Trade-Off · 4.3.5

SOURCES (HARVARD REFERENCING STYLE)

WEF (2023) Future of Jobs Report 2023. Geneva: World Economic Forum.

WEF (2025) Future of Jobs Report 2025. Geneva: World Economic Forum.

OECD (2023) OECD Skills Outlook 2023: Skills for a Resilient Green and Digital Transition. Paris: OECD Publishing.

AI Spectrum

Rules → ML → Deep Learning → Generative AI → Agentic AI — five layers, not one.

PROFESSIONAL DEFINITION

A layered model of artificial-intelligence capability: rule-based systems, classical machine learning, deep learning, generative AI (LLMs, diffusion), and agentic AI (planning, tool use). Each layer subsumes the previous and adds new capability, but also new failure modes, costs, and governance demands.

WHO DEVELOPED IT

Conceptual lineage from Russell & Norvig (1995) 'Artificial Intelligence: A Modern Approach'.

WHY IT WAS DEVELOPED

Modern five-layer formulation in McKinsey AI research (2023+) and Anthropic / OpenAI capability frameworks.

FIGURE 1 · AI SPECTRUM

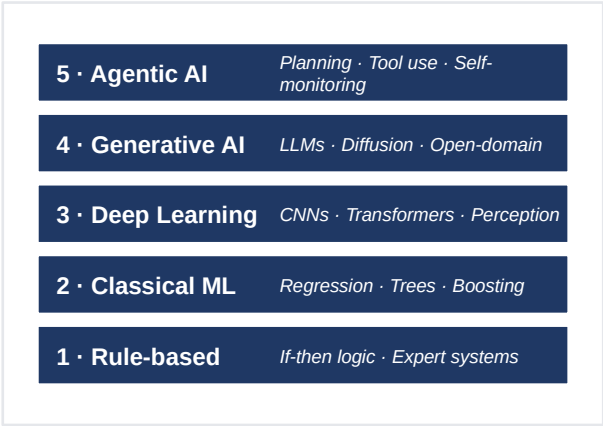


Figure 1. AI Spectrum: Rules → ML → Deep Learning → Generative AI → Agentic AI — five layers, not one.

HOW IT IS USED

when scoping the right AI approach for a business problem — most problems do not need Layer 4 or 5.

WHEN IT IS USED

in cost / risk budgeting — higher layers cost more and carry higher governance burden.

BY WHOM IT IS USED

strategy consultants, corporate executives, policy analysts, and academic researchers working in AI in Business.

REAL-WORLD EXAMPLES

- Layer 1 — Tax-rule engines: deterministic rule-based logic.
- Layer 2 — Credit scoring: gradient boosting on structured data.
- Layer 3 — Image search: deep-learning vision models.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Compared with prior approaches in the same domain, AI Spectrum contributes a clearer, more transferable framing of the dynamic it names — Rules → ML → Deep Learning → Generative AI → Agentic AI — five layers, not one. Its analytical contribution is the explicit recognition that layer 1 — Rule-based: explicit if-then logic. Reliable but brittle.

RELATED FRAMEWORKS IN THIS COURSE

- Generative AI Economics · 4.3.2
- AI ROI — The \$252B Question · 4.3.3
- Human-AI Pairing · 4.3.4

SOURCES (HARVARD REFERENCING STYLE)

Russell, S. and Norvig, P. (2020) Artificial Intelligence: A Modern Approach. 4th edn. Hoboken, NJ: Pearson.

Bommasani, R. et al. (2021) On the Opportunities and Risks of Foundation Models. Stanford: Stanford CRFM.

McKinsey & Company (2024) The State of AI 2024. New York: McKinsey & Company.

Generative AI Economics

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Training is fixed cost · inference is marginal cost — a different unit-economics regime.

PROFESSIONAL DEFINITION

The unit-economics structure of large generative AI models: very high one-time training cost (~\$100m–\$1bn for frontier models), plus per-query inference cost (compute, electricity). Inference cost is non-trivial — ~\$0.001–\$0.10 per query — breaking the classical zero-marginal-cost model of digital goods.

WHO DEVELOPED IT

Empirical work by Epoch AI (2023+), Stanford AI Index (annual).

WHY IT WAS DEVELOPED

Conceptual frame: Brynjolfsson and McAfee's earlier work on bits-and-atoms inverted — AI inference costs 'reintroduce' marginal cost into software economics.

FIGURE 1 · GENERATIVE AI ECONOMICS

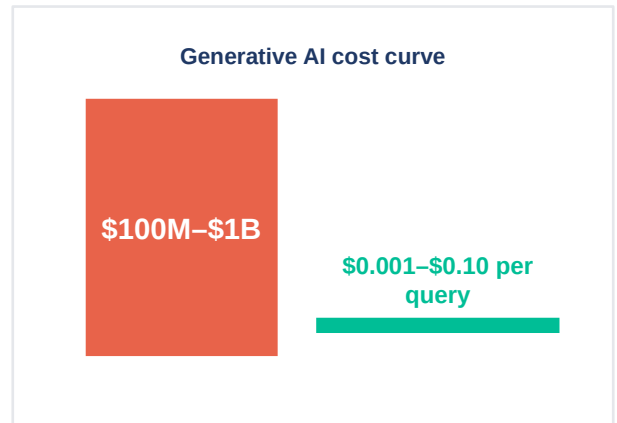


Figure 1. Generative AI Economics: Training is fixed cost · inference is marginal cost — a different unit-economics regime.

HOW IT IS USED

when building a business case for AI deployment — must include inference run-rate.

WHEN IT IS USED

in pricing strategy — many AI products underprice and lose money at scale.

BY WHOM IT IS USED

strategy consultants, corporate executives, policy analysts, and academic researchers working in AI in Business.

REAL-WORLD EXAMPLES

● OpenAI: ChatGPT inference cost reportedly ~\$700k/day at peak 2023.

● GitHub Copilot: subscription pricing structured around projected inference cost.

● Anthropic Claude: per-token API pricing reflects compute cost differentials.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Compared with prior approaches in the same domain, Generative AI Economics contributes a clearer, more transferable framing of the dynamic it names — Training is fixed cost · inference is marginal cost — a different unit-economics regime. Its analytical contribution is the explicit recognition that training: massive one-time fixed cost — GPT-4 estimated >\$100m in compute alone; frontier models 2024–2025 in the \$0.5–1bn range.

RELATED FRAMEWORKS IN THIS COURSE

[Zero Marginal Cost \(Unit 2.4.1\)](#)[AI ROI — The \\$252B Question · 4.3.3](#)[AI Spectrum · 4.3.1](#)

SOURCES (HARVARD REFERENCING STYLE)

Stanford HAI (2024) AI Index Report 2024. Stanford: Stanford Institute for Human-Centered AI.

Epoch AI (2024) Trends in the Compute Required to Train Frontier AI Models. London: Epoch AI.

Bornstein, M., Appenzeller, G. and Casado, M. (2023) 'Who owns the generative AI platform?', Andreessen Horowitz.

AI ROI — The \$252B Question (MIT)

SLIBRARY 15 · SHEET
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MIT IDE 2025 — \$252bn invested in enterprise AI · ROI hard to find.

PROFESSIONAL DEFINITION

MIT IDE's 2025 finding that ~\$252bn was invested in enterprise generative-AI deployment globally between 2023 and 2025, but only a minority of deployments delivered measurable ROI. The pattern: hype-driven adoption, weak measurement, low-ambition use cases, and underestimated operating-model change required.

WHO DEVELOPED IT

MIT Initiative on the Digital Economy (2025) IDE 2025 Annual Report.

WHY IT WAS DEVELOPED

Builds on annual McKinsey 'State of AI' surveys, BCG AI ROI research, and Capgemini Generative AI in Enterprise studies (2024).

FIGURE 1 · AI ROI — THE \$252B QUESTION (MIT)



Figure 1. AI ROI — The \$252B Question (MIT): MIT IDE 2025 — \$252bn invested in enterprise AI · ROI hard to find.

HOW IT IS USED

when challenging or defending an AI investment business case.

WHEN IT IS USED

in board-level discussions about AI portfolio prioritisation.

BY WHOM IT IS USED

strategy consultants, corporate executives, policy analysts, and academic researchers working in AI in Business.

REAL-WORLD EXAMPLES

- Klarna: claimed AI assistant ≈ 700 FTEs of work (2024) — heavily debated.
- Microsoft Copilot for M365: ROI mixed across enterprise customers.
- BCG GenAI study (2024): 10–20% gain in piloted tasks; <5% at firm level.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Compared with prior approaches in the same domain, AI ROI — The \$252B Question (MIT) contributes a clearer, more transferable framing of the dynamic it names — MIT IDE 2025 — \$252bn invested in enterprise AI · ROI hard to find. Its analytical contribution is the explicit recognition that investment side: enterprise AI spend approached ~\$252bn globally 2023–2025 (MIT IDE 2025).

RELATED FRAMEWORKS IN THIS COURSE

- BCG 10-20-70 · 4.1.1
- Generative AI Economics · 4.3.2
- Digital Maturity Model · 4.1.3

SOURCES (HARVARD REFERENCING STYLE)

- MIT Initiative on the Digital Economy (2025) IDE 2025 Annual Report. Cambridge, MA: MIT IDE.
- McKinsey & Company (2024) The State of AI 2024. New York: McKinsey & Company.
- BCG (2024) AI at Work 2024: Friend or Foe? Boston: Boston Consulting Group.

Human-AI Pairing (MIT)

MIT IDE — designed pairing beats either humans-only or AI-only on most knowledge tasks.

PROFESSIONAL DEFINITION

MIT IDE's empirical finding that on most knowledge-work tasks, well-designed human-AI pairing outperforms both humans alone and AI alone. The gain comes from complementary cognitive capabilities — AI handles breadth, recall, and routine production; humans handle judgement, ethics, novelty, and context.

WHO DEVELOPED IT

MIT Initiative on the Digital Economy (2025) IDE 2025 Annual Report.

WHY IT WAS DEVELOPED

Conceptual lineage in Davenport & Kirby (2016) 'Only Humans Need Apply'. Empirical anchors: Brynjolfsson, Li & Raymond (2025) on customer-service productivity.

FIGURE 1 · HUMAN-AI PAIRING (MIT)

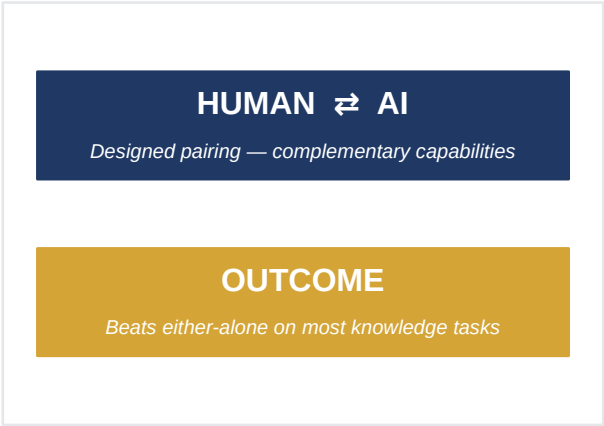


Figure 1. Human-AI Pairing (MIT): MIT IDE — designed pairing beats either humans-only or AI-only on most knowledge tasks.

HOW IT IS USED

when designing AI-augmented workflows in any knowledge-work context.

WHEN IT IS USED

in role redesign and performance management.

BY WHOM IT IS USED

strategy consultants, corporate executives, policy analysts, and academic researchers working in AI in Business.

REAL-WORLD EXAMPLES

- Brynjolfsson, Li & Raymond (2025): customer-service productivity +14% (+35% for least-experienced).
- GitHub Copilot: ~55% faster task completion in controlled trials.
- Radiology: AI + radiologist outperforms either alone on tumour detection.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Compared with prior approaches in the same domain, Human-AI Pairing (MIT) contributes a clearer, more transferable framing of the dynamic it names — MIT IDE — designed pairing beats either humans-only or AI-only on most knowledge tasks. Its analytical contribution is the explicit recognition that three pairing modes: (i) AI augments human (default for most knowledge work); (ii) Human supervises AI (high-stakes decisions); (iii) AI executes, human reviews (medium-stakes scaling).

RELATED FRAMEWORKS IN THIS COURSE

- AI Spectrum · 4.3.1
- Cognitive Trade-Off · 4.3.5
- Step-Function AI Impact · 4.2.3

SOURCES (HARVARD REFERENCING STYLE)

MIT Initiative on the Digital Economy (2025) IDE 2025 Annual Report. Cambridge, MA: MIT IDE.

Brynjolfsson, E., Li, D. and Raymond, L. (2025) 'Generative AI at work', Quarterly Journal of Economics, 140(2), pp. 889–942.

Davenport, T.H. and Kirby, J. (2016) Only Humans Need Apply: Winners and Losers in the Age of Smart Machines. New York: Harper Business.

Cognitive Trade-Off (MIT)

MIT IDE — AI use can erode the very skills it appears to enhance.

PROFESSIONAL DEFINITION

MIT IDE's 2025 finding that prolonged reliance on AI assistance for cognitive work can degrade the underlying skills it supports — a 'cognitive offloading' effect. The trade-off: short-term productivity gain at the cost of long-term skill atrophy and reduced critical thinking.

WHO DEVELOPED IT

MIT Initiative on the Digital Economy (2025) IDE 2025 Annual Report.

WHY IT WAS DEVELOPED

Conceptual lineage: Carr, N. (2008) 'Is Google Making Us Stupid?'; Risko & Gilbert (2016) on cognitive offloading. Recent empirical anchor in Lee, H.-P. et al. (2025) Microsoft Research study on critical thinking and GenAI use.

FIGURE 1 · COGNITIVE TRADE-OFF (MIT)

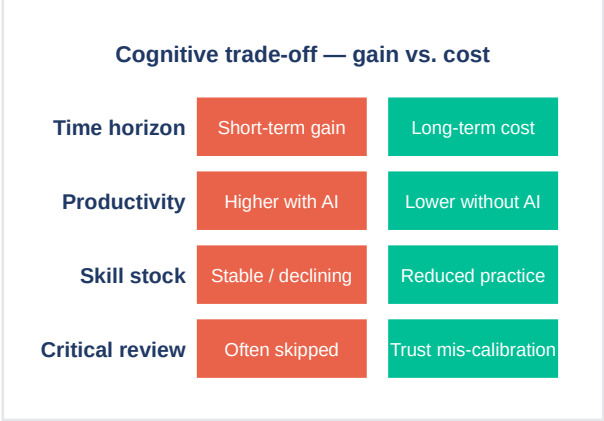


Figure 1. Cognitive Trade-Off (MIT): MIT IDE — AI use can erode the very skills it appears to enhance.

HOW IT IS USED

when designing learning programmes for AI-augmented work.

WHEN IT IS USED

in education policy and curriculum design.

BY WHOM IT IS USED

strategy consultants, corporate executives, policy analysts, and academic researchers working in AI in Business.

REAL-WORLD EXAMPLES

- Microsoft Research 2025: heavier GenAI users showed lower critical-thinking engagement.
- Junior consultants using AI for first drafts: faster output, weaker analytical structure.
- Mitigation: many firms mandate AI-free problem-solving for early-career staff.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Compared with prior approaches in the same domain, Cognitive Trade-Off (MIT) contributes a clearer, more transferable framing of the dynamic it names — MIT IDE — AI use can erode the very skills it appears to enhance. Its analytical contribution is the explicit recognition that cognitive offloading: humans naturally externalise cognitive work to tools — AI accelerates this.

RELATED FRAMEWORKS IN THIS COURSE

- Skills Matrix 2025-2030 · 4.2.5
- Human-AI Pairing · 4.3.4
- Step-Function AI Impact · 4.2.3

SOURCES (HARVARD REFERENCING STYLE)

MIT Initiative on the Digital Economy (2025) IDE 2025 Annual Report. Cambridge, MA: MIT IDE.

Lee, H.-P., Sarkar, A., Tankelevitch, L. et al. (2025) 'The impact of generative AI on critical thinking', CHI 2025 Conference Proceedings.

Carr, N. (2010) The Shallows: What the Internet Is Doing to Our Brains. New York: W.W. Norton.

5A Framework (Kotler)

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Aware → Appeal → Ask → Act → Advocate — the digital-era customer journey.

PROFESSIONAL DEFINITION

Philip Kotler's 5A framework for the digital-era customer journey: Aware → Appeal → Ask → Act → Advocate. Replaces the older AIDA (Attention, Interest, Desire, Action) by adding the post-purchase Advocate stage and recognising that journeys today are looped, not linear.

WHO DEVELOPED IT

Kotler, P., Kartajaya, H. and Setiawan, I. (2017) 'Marketing 4.0: Moving from Traditional to Digital'.

WHY IT WAS DEVELOPED

Updated in 'Marketing 5.0' (2021) and 'Marketing 6.0' (2024) for AI-mediated commerce.

FIGURE 1 · 5A FRAMEWORK (KOTLER)

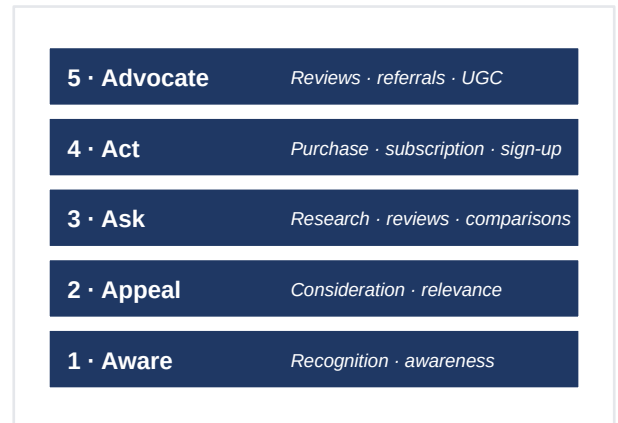


Figure 1. 5A Framework (Kotler): Aware → Appeal → Ask → Act → Advocate — the digital-era customer journey.

HOW IT IS USED

when designing or auditing a digital marketing strategy.

WHEN IT IS USED

in measurement / KPI design — PAR and BAR are stage-level diagnostics.

BY WHOM IT IS USED

strategy consultants, corporate executives, policy analysts, and academic researchers working in The New Consumer.

REAL-WORLD EXAMPLES

● Apple: high BAR — Apple users actively recommend the brand, generating low CAC.

● Tesla: famously zero-traditional-advertising; relies on Advocate stage for awareness.

● Glossier: built brand entirely through Advocate-stage user-generated content.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Compared with prior approaches in the same domain, 5A Framework (Kotler) contributes a clearer, more transferable framing of the dynamic it names — Aware → Appeal → Ask → Act → Advocate — the digital-era customer journey. Its analytical contribution is the explicit recognition that aware: brand-recognition triggered by content, advertising, or social signal.

RELATED FRAMEWORKS IN THIS COURSE

ZMOT — Zero Moment of Truth · 4.4.2

Customer Journey Loop · 4.4.4

Hyper-Personalisation · 4.4.3

SOURCES (HARVARD REFERENCING STYLE)

Kotler, P., Kartajaya, H. and Setiawan, I. (2017) Marketing 4.0: Moving from Traditional to Digital. Hoboken, NJ: Wiley.

Kotler, P., Kartajaya, H. and Setiawan, I. (2021) Marketing 5.0: Technology for Humanity. Hoboken, NJ: Wiley.

Kotler, P., Kartajaya, H. and Setiawan, I. (2024) Marketing 6.0: The Future Is Immersive. Hoboken, NJ: Wiley.

ZMOT — Zero Moment of Truth

SLIBRARY 16 · SHEET
2 / 5

The pre-purchase research moment that decides the sale.

PROFESSIONAL DEFINITION

Google's term for the digital pre-purchase research moment — the consumer's online investigation before the in-store or in-app purchase decision. Sits between the brand's Stimulus and the legacy 'First Moment of Truth' (P&G) of in-store interaction. In e-commerce, ZMOT is often where the purchase is decided.

WHO DEVELOPED IT

Lecinski, J. (2011) 'Winning the Zero Moment of Truth', Google.

WHY IT WAS DEVELOPED

Built on Procter & Gamble's First and Second Moments of Truth (Lafley, 2005).

FIGURE 1 · ZMOT — ZERO MOMENT OF TRUTH



Figure 1. ZMOT — Zero Moment of Truth: The pre-purchase research moment that decides the sale.

HOW IT IS USED

in digital-marketing strategy and budget allocation.

WHEN IT IS USED

as a diagnostic when conversion rates underperform.

BY WHOM IT IS USED

educators, analysts, and practitioners requiring a precise definitional anchor when scoping their work in The New Consumer.

REAL-WORLD EXAMPLES

● B2B SaaS: G2, Capterra, TrustRadius reviews drive ZMOT for enterprise software.

● Consumer electronics: 80%+ of buyers research online before in-store purchase (Google 2023).

● Travel: Booking.com, Tripadvisor reviews are the dominant ZMOT for accommodation.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Compared with prior approaches in the same domain, ZMOT — Zero Moment of Truth contributes a clearer, more transferable framing of the dynamic it names — The pre-purchase research moment that decides the sale. Its analytical contribution is the explicit recognition that sequence: Stimulus (ad) → ZMOT (online research) → FMOT (shelf / app) → SMOT (use experience) → UMOT (user-generated content fed back).

RELATED FRAMEWORKS IN THIS COURSE

5A Framework · 4.4.1

Customer Journey Loop · 4.4.4

Hyper-Personalisation · 4.4.3

SOURCES (HARVARD REFERENCING STYLE)

Lecinski, J. (2011) Winning the Zero Moment of Truth. Mountain View, CA: Google.

Lafley, A.G. and Charan, R. (2008) The Game-Changer: How You Can Drive Revenue and Profit Growth with Innovation. New York: Crown Business.

Court, D., Elzinga, D., Mulder, S. and Vetvik, O.J. (2009) 'The consumer decision journey', McKinsey Quarterly, 3, pp. 96–107.

Hyper-Personalisation

SLIBRARY 16 · SHEET
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Segment-of-one — content, price, and experience tuned per individual in real time.

PROFESSIONAL DEFINITION

The use of behavioural, contextual, and preference data to dynamically tailor content, price, and experience to the individual consumer in real time. Distinguishable from personalisation: hyper-personalisation operates at the segment-of-one level and adapts continuously, not at periodic refresh intervals.

WHO DEVELOPED IT

Term coined in Deloitte (2017) digital-experience research; conceptual roots in 'one-to-one marketing' (Peppers and Rogers, 1993) and recommender-system literature (Resnick et al., 1994).

WHY IT WAS DEVELOPED

The framework was developed to give practitioners a precise, transferable vocabulary for the dynamic captured in its tagline — replacing the looser pre-existing terms used in earlier industry and academic discourse.

FIGURE 1 · HYPER-PERSONALISATION

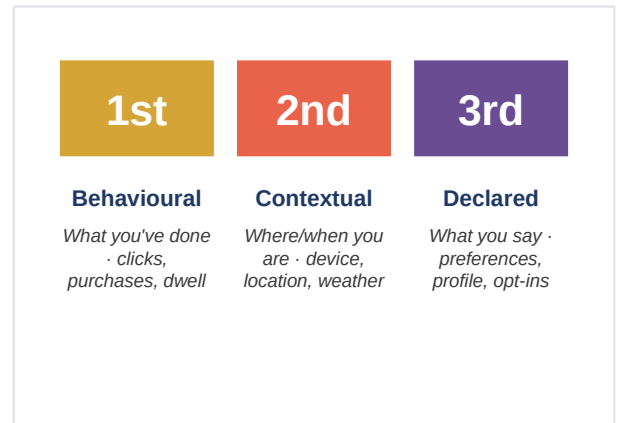


Figure 1. Hyper-Personalisation: Segment-of-one — content, price, and experience tuned per individual in real time.

HOW IT IS USED

when designing high-engagement digital experiences.

WHEN IT IS USED

as a regulatory risk lens — hyper-personalisation has overlaps with GDPR Art. 22 and Unfair Commercial Practices Directive.

BY WHOM IT IS USED

strategy consultants, corporate executives, policy analysts, and academic researchers working in The New Consumer.

REAL-WORLD EXAMPLES

- Netflix: artwork, ranking, autoplay all hyper-personalised per individual.
- Amazon: dynamic pricing — ~2.5m price changes per day across catalogue (2024).
- Spotify: 'Discover Weekly' / 'Daylist' personalisation as engagement engine.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Compared with prior approaches in the same domain, Hyper-Personalisation contributes a clearer, more transferable framing of the dynamic it names — Segment-of-one — content, price, and experience tuned per individual in real time. Its analytical contribution is the explicit recognition that three data inputs: (i) behavioural — clicks, dwells, purchases; (ii) contextual — location, time, device; (iii) declared — preferences, profile data.

RELATED FRAMEWORKS IN THIS COURSE

Price Discrimination (Unit 2.4.4)

5A Framework · 4.4.1

Surveillance Capitalism (Unit

SOURCES (HARVARD REFERENCING STYLE)

Peppers, D. and Rogers, M. (1993) *The One to One Future*. New York: Currency Doubleday.

Deloitte (2017) *Hyper-Personalization: A Vision for the Future of Customer Experience*. New York: Deloitte Insights.

European Union (2016) Regulation (EU) 2016/679 — General Data Protection Regulation, Article 22. Brussels: Official Journal of the EU.

Customer Journey Loop

SLIBRARY 16 · SHEET
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Linear funnels are dead — modern journeys loop through evaluation and advocacy.

PROFESSIONAL DEFINITION

A model of the post-digital customer journey as a continuous loop rather than a one-way funnel. Buyers actively evaluate options at multiple points, may exit and re-enter the cycle, and post-purchase advocacy feeds back into the awareness stage of the next cycle. Replaces the linear AIDA / classical funnel.

WHO DEVELOPED IT

Court, D., Elzinga, D., Mulder, S. and Vetvik, O.J. (2009) 'The consumer decision journey', McKinsey Quarterly.

WHY IT WAS DEVELOPED

Refined for digital era in Edelman & Singer (2015) 'Competing on Customer Journeys', HBR.

FIGURE 1 · CUSTOMER JOURNEY LOOP

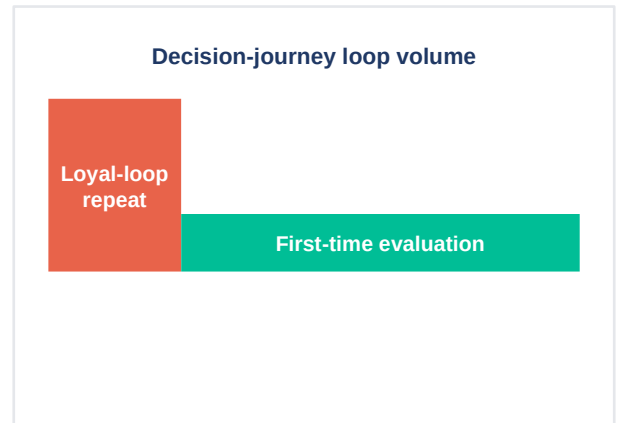


Figure 1. Customer Journey Loop: Linear funnels are dead — modern journeys loop through evaluation and advocacy.

HOW IT IS USED

when redesigning customer-experience strategy.

WHEN IT IS USED

in CRM and loyalty-programme design.

BY WHOM IT IS USED

strategy consultants, corporate executives, policy analysts, and academic researchers working in The New Consumer.

REAL-WORLD EXAMPLES

- Amazon Prime: deliberately collapses evaluation — Prime members re-purchase without active comparison.
- Apple: post-purchase engagement (Apple One, ecosystem services) reinforces loyalty loop.
- Tesla: Owners → community → advocates → next prospect — pure loop dynamic.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Compared with prior approaches in the same domain, Customer Journey Loop contributes a clearer, more transferable framing of the dynamic it names — Linear funnels are dead — modern journeys loop through evaluation and advocacy. Its analytical contribution is the explicit recognition that initial-consideration set: 3–5 brands the consumer considers (often based on prior advocacy).

RELATED FRAMEWORKS IN THIS COURSE

5A Framework · 4.4.1

ZMOT · 4.4.2

Subscription Economy (Unit 2.3.3)

SOURCES (HARVARD REFERENCING STYLE)

Court, D., Elzinga, D., Mulder, S. and Vetvik, O.J. (2009) 'The consumer decision journey', McKinsey Quarterly, 3, pp. 96–107.

Edelman, D.C. and Singer, M. (2015) 'Competing on customer journeys', Harvard Business Review, 93(11), pp. 88–100.

Lemon, K.N. and Verhoef, P.C. (2016) 'Understanding customer experience throughout the customer journey', Journal of Marketing, 80(6), pp. 69–96.

Experience Economy

SLIBRARY 16 · SHEET
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Pine & Gilmore — when goods become commodities, experiences become the differentiator.

PROFESSIONAL DEFINITION

The Experience Economy theory holds that economic value progresses from commodities → goods → services → experiences → transformations. As goods and services become commoditised, firms must stage memorable experiences (and ultimately deliver personal transformation) to differentiate and capture value.

WHO DEVELOPED IT

Pine, B.J. and Gilmore, J.H. (1999) 'The Experience Economy', Harvard Business School Press.

WHY IT WAS DEVELOPED

Updated in Pine & Gilmore (2011, 2019). Earlier conceptual foundations in Toffler (1970) 'Future Shock'.

FIGURE 1 · EXPERIENCE ECONOMY



Figure 1. Experience Economy: Pine & Gilmore — when goods become commodities, experiences become the differentiator.

HOW IT IS USED

when assessing differentiation strategy in commoditising markets.

WHEN IT IS USED

in customer-experience and brand strategy.

BY WHOM IT IS USED

educators, analysts, and practitioners requiring a precise definitional anchor when scoping their work in The New Consumer.

REAL-WORLD EXAMPLES

- Starbucks: coffee shop → 'third place' experience (Schultz vision).
- Apple Store: differentiated retail experience makes the same goods feel different.
- Disney: theme parks as transformations — guests leave feeling different.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Compared with prior approaches in the same domain, Experience Economy contributes a clearer, more transferable framing of the dynamic it names — Pine & Gilmore — when goods become commodities, experiences become the differentiator. Its analytical contribution is the explicit recognition that five-step value progression: commodity → good → service → experience → transformation.

RELATED FRAMEWORKS IN THIS COURSE

5A Framework · 4.4.1

Customer Journey Loop · 4.4.4

Hyper-Personalisation · 4.4.3

SOURCES (HARVARD REFERENCING STYLE)

Pine, B.J. and Gilmore, J.H. (1999) The Experience Economy. Boston: Harvard Business School Press.

Pine, B.J. and Gilmore, J.H. (2019) The Experience Economy: Competing for Customer Time, Attention and Money. Boston: HBR Press.

Schmitt, B.H. (1999) Experiential Marketing: How to Get Customers to Sense, Feel, Think, Act, Relate. New York: Free Press.